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Samsung Electronics | Asia Pacific

2Q26 Prelim: In-Line, but Strong Underlying Earnings

Key Takeaways

- Revenue growth accelerated 129% YoY on strong memory pricing (W171tr, 28% QoQ), with OP of W89.4tr (+1,810% YoY, +57% QoQ), in line with consensus.
- Memory profits likely near W92tr led by strong commodity DRAM/NAND pricing while foundry/LSI losses reduced at around W2tr, in our view.
- Mobile and appliances likely posted slight losses at around W1tr in total, whereas display posted W700bn profits on seasonal demand.
- On employee bonus provisions, we believe it was roughly 10% of OP, reflecting total of 1H26 provisions in 2Q26.
- Overall, the debate is not on this prelim (that's backward-looking), but we are on the right side of the memory cycle.

Samsung still is in the midst of a sharp profit recovery cycle. Up 165% YTD (vs. 91% KOSPI), the share price has performed well, but perhaps is not reflecting the full magnitude of what is ahead – a more upbeat outlook likely at the July 30 earnings call (10am KST). Modelling a 2Q26 DRAM ASP estimate of 56%, we see memory profits growing more than 1100% YoY in 2026, approaching the W412tr profit mark. The compute-to-power ratio favors Samsung's more advanced DRAM and logic base die nodes versus peers and imminent LTAs instil stability and improve earnings predictability.

Stock implications: 52% operating margin (with memory at 70%+) despite substantial bonus provisions reinforces our constructive view that optimism will extend that chase for performance throughout 2H26. Significant upside exists once we adjust to earnings growth in a period of unprecedented capacity constraints, and upside to capital returns may underpin yet further outperformance. Stay OW, Top Pick.

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Samsung Electronics (005930.KS, 005930 KP)
Top Pick

S. Korea Technology | S. Korea

Stock Rating	Overweight			
Industry View	Attractive			
Price target	W381,000			
Up/downside to price target (%)	20			
Shr price, close (Jul 6, 2026)	W318,000			
52-Week Range	W374,500-60,200			
Sh out, dil, curr (mn)	6,607			
Mkt cap, curr (bn)	W2,272,894			
EV, curr (bn)	W2,158,565			
Avg daily trading value (bn)	W3,955			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (W)**	6,562	53,985	74,381	74,499
Prior EPS (W)**	-	-	-	-
EPS (W)\$	6,225	46,608	65,613	66,106
EBITDA (W bn)	89,716	461,966	695,983	725,428
P/E	20.5	6.6	4.8	4.8
P/BV	2.1	3.2	2.0	1.4
ROE (%)	11.1	85.5	65.9	40.9
EV/EBITDA	8.3	4.5	2.8	2.3
Div yld (%)	1.4	1.4	1.6	1.5
FCF yld ratio (%)	2.5	4.0	9.0	13.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology

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§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Samsung Electronics (005930.KS)

Our base case price target is derived from our residual income valuation model. At our price target, the 2027e P/B multiple would be c.2x, in line with the stock's commodity cycle peak of 2.0x. We assume an 11.5% cost of equity, based on a beta of 1.0, and our terminal growth rate assumption is 3%.

Risks to Upside

- New technological developments, especially in memory and foldable displays
- Longer-lasting memory up-cycle from AI and hyperscale data center growth

Risks to Downside

- Product and memory cycle, including Apple and new Chinese smartphone competition
- Earnings growth concentration in semiconductors

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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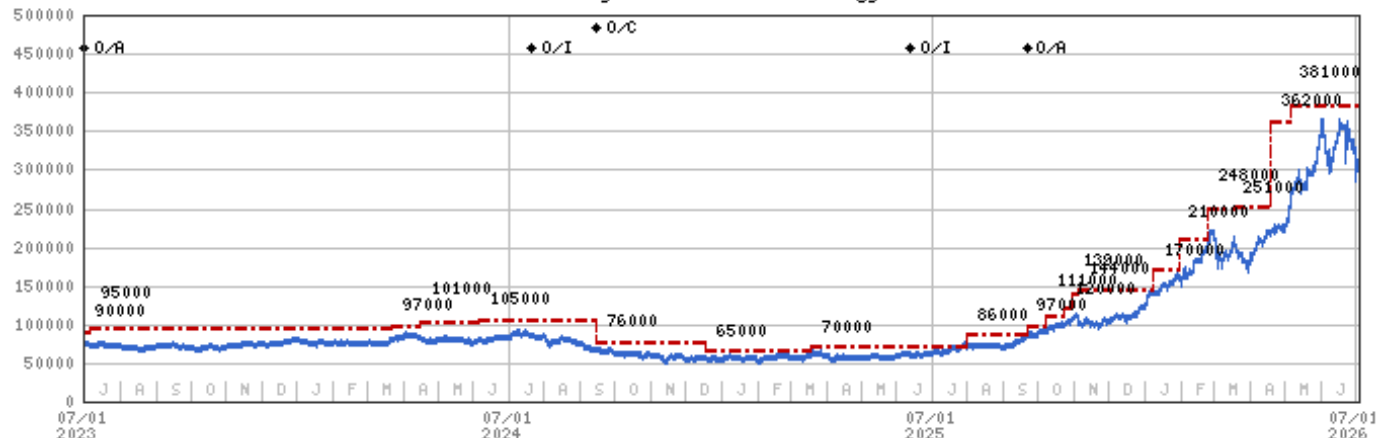
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Samsung Electronics (005930.KS) - As of 07/04/26 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 7/1/21 : O/A; 7/19/21 : O/I; 8/12/21 : O/C; 10/4/22 : O/A; 7/21/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I; 9/21/25 : O/A

Price Target History: 6/8/21 : 98000; 8/12/21 : 89000; 9/15/21 : 95000; 12/3/21 : 97000; 3/18/22 : 95000; 4/28/22 : 85000; 6/10/22 : 80000; 7/5/22 : 75000; 7/22/22 : 70000; 9/17/22 : 68000; 3/21/23 : 70000; 5/30/23 : 90000; 7/7/23 : 95000; 3/22/24 : 97000; 4/16/24 : 101000; 6/6/24 : 105000; 9/15/24 : 76000; 12/18/24 : 65000; 3/19/25 : 70000; 8/1/25 : 86000; 9/21/25 : 97000; 10/8/25 : 111000; 10/23/25 : 120000; 10/30/25 : 139000; 11/5/25 : 144000; 1/8/26 : 170000; 1/30/26 : 210000; 2/24/26 : 248000; 3/18/26 : 251000; 4/19/26 : 362000; 5/6/26 : 381000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: S. Korea Technology

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Ryan Kim		
Ecopro BM (247540.KQ)	U (03/20/2023)	W121,700
Fadu Inc (440110.KQ)	O (09/21/2025)	W72,600
Hanmi Semiconductor Co. Ltd. (042700.KS)	O (08/16/2024)	W226,500
HD Hyundai Electric Co Ltd (267260.KS)	O (03/25/2025)	W929,000
Isu Petasys Co. Ltd. (007660.KS)	O (02/03/2025)	W101,300
L&F Co Ltd (066970.KS)	E (04/03/2025)	W103,400
Leeno Industrial Inc. (058470.KQ)	O (04/03/2025)	W74,900
Lotte Energy Materials Corp (020150.KS)	U (04/03/2025)	W37,600
LS Electric (010120.KS)	O (01/22/2026)	W218,500
POSCO FUTURE M (003670.KS)	U (04/03/2025)	W159,500
SK IE Technology (361610.KS)	U (04/03/2025)	W15,750
SK Square Co Ltd. (402340.KS)	O (05/06/2026)	W1,495,000
Wonik IPS Co Ltd (240810.KQ)	O (08/08/2025)	W124,500
Shawn Kim		
LG Display (034220.KS)	E (06/11/2025)	W10,880
LG Electronics (066570.KS)	E (04/07/2025)	W185,700
LG Innotek (011070.KS)	E (03/12/2025)	W855,000
Samsung Electro-Mechanics (009150.KS)	O (07/31/2025)	W1,828,000
Samsung Electronics (005935.KS)	O (11/18/2019)	W212,500
Samsung Electronics (005930.KS)	O (11/18/2019)	W318,000
SK hynix (000660.KS)	O (09/21/2025)	W2,343,000

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* Historical prices are not split adjusted.

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